

The Institutional Cost of Building a Technology Business

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Pakistan's pitch to founders and investors rests on scale: a population approaching 250 million, a technology sector setting export records and a freelance workforce ranked among the most competitive in the world. Building and operating a consumer platform inside that market produces a more granular account than any of those headline figures. Regulators have removed most of the formal barriers that once stood between a technology venture and foreign capital. What now limits a founder is the market itself: a paying customer base far smaller than the national population suggests, credit that small firms cannot reach, sectoral rules still fragmented across federal and provincial mandates, and a playing field tilted by uneven tax enforcement, unchecked imports and heavily capitalised foreign entrants. Drawing on the operating experience of a founder who has built at scale in this market, this insight argues that the next round of reform must build the market rather than ease entry into it.

Context

For most of the past decade the case against building a technology business in Pakistan began with regulation. At the point of entry, that case has weakened. Since May 2021 start-ups have been able to raise convertible debt from foreign investors, with principal and interest remittable once the loan is registered and any shares issued on conversion registered as a repatriable investment.¹ In May 2026 the State Bank of Pakistan (SBP) delegated the registration of repatriable shares, and the remittance of dividends and disinvestment proceeds, to authorised banks, and simplified the documents required.² The Securities and Exchange Commission of Pakistan (SECP) has moved in parallel: its November 2025 amendments relaxed experience requirements for the founders of lending companies, revamped peer to peer lending rules and doubled microenterprise loan limits to Rs 3 million.³ Frictions remain, and the sections below set out where they are most costly, but the terms of entry are no longer the binding constraint on a technology business.

The underlying infrastructure has also improved. Pakistan's digital economy expanded rapidly over the past decade, driven by telecommunications investment and the State Bank's push for branchless banking.⁴ By 2025 the country recorded over 140 million broadband subscribers and a rate of financial inclusion far above its

level a decade earlier.^{5,6} Coverage, however, has outpaced use. The GSMA found that although 81% of Pakistanis live under mobile broadband coverage and 68% own a smartphone, only 29% had used the mobile internet in the previous year, a gap of 52 percentage points that it attributed to affordability, literacy and trust.⁷ Industry submissions to the same forum place more weight on spectrum pricing, sector specific taxation and regulatory uncertainty. Both accounts rest on the same usage data and are reported here as competing explanations rather than reconciled.

The demand side has moved in the opposite direction. The World Bank projects that national poverty rose to 25.3% in FY2024, reversing a fall from 64.3% in 2001 to 21.9% in 2018, under the weight of the pandemic, floods, economic instability and record inflation.⁸ Average inflation reached 19.9% in 2022 and 30.8% in 2023, while the rupee weakened against the US dollar, from 176.5 at the end of 2021 to 281.9 at the end of 2023.^{9,10} Those years stripped much of the salaried middle class of its capacity to grow income, and with it the discretionary spending on which consumer platforms depend.

The headline market is also smaller than it looks. The 2023 census counted 241.49 million people, 61.2% of them in areas classified as rural.¹¹ Karachi alone holds 18.87 million people and, with Lahore, accounts for about a third of the urban population, while the 20 largest cities together hold roughly a quarter of the national total; the rest of urban Pakistan is spread across more than 600 smaller localities.¹²

A business does not operate in a vacuum. It sits on physical infrastructure, financial rails and legal constraints, and where those rails are uneven, the cost of building on top of them rises in ways aggregate analysis rarely captures. A platform coordinating thousands of daily gig economy workers, processing millions of small transactions and integrating with legacy banking infrastructure needs predictable capital mobility, a coherent tax regime, a regulator that understands platform dynamics, and a reliable means of settling commercial disputes. The next section takes each of these constraints in turn.

Analysis

Running a consumer platform turns these national aggregates into a sharper constraint. In my experience, the population that can afford digital products is a small fraction of the total, and it contracts further as the value of the product rises: food delivery, ride hailing and e-commerce each draw on a far smaller pool of regular paying customers than a population of 241 million implies. No official or independent survey measures that addressable market directly, so this insight does not put a number on it. The census, poverty and usage data point in the same direction, but they are not a substitute for a measured estimate.

Formal businesses have responded by serving the top of the pyramid. The car market shows it plainly: members of the Pakistan Automotive Manufacturers Association (PAMA) sold 155,631 passenger cars in FY2026, against 1,972,077 motorcycles and three wheelers.¹³ In my observation, the leading fashion and lawn brands follow the same logic.

The motorcycle market shows how the mass of households actually spends. PAMA members' sales of motorcycles and three wheelers rose from 1.52 million units in FY2025 to 1.97 million in FY2026, and Atlas Honda alone sold 1.69 million, about 86% of the FY2026 total.¹³ PAMA data cover member assemblers only, so they cannot show how far the smaller, locally assembled brands using Chinese engines have lost ground outside the association. My interpretation is that the price gap that once favoured those brands has narrowed, and that households with thin margins are choosing an asset they trust to hold its resale value.

Credit is the second constraint. The SBP held its policy rate at 11.5% in July 2026, with headline inflation at 11.1% in June.¹⁴ Banks keep around 62% of their assets in investments, predominantly government securities, and their ratio of advances to deposits stood at 37.5% at the end of 2025.¹⁵ Financing to small and medium enterprises was Rs 906.7 billion in June 2026, just 7.8% of domestic private sector financing.¹⁶ In my experience, lenders outside the banking system must price well above the policy rate to cover their own funding costs, which puts credit beyond most small businesses. Even consumer lending secured against assets is capped: the SBP limits any individual's aggregate auto

financing to Rs 3 million, a cap still in place in August 2026.^{17,18} Auto loans fell from a peak of Rs 368 billion in June 2022 and did not revive for 27 months; they reached Rs 386.3 billion in July 2026, a nominal figure that has not been adjusted for the inflation in between.^{17,18} Equity has not filled the gap. Disclosed start-up funding fell 77% in 2023 to USD 75.6 million,¹⁹ and the roughly USD 74 million raised in 2025 came mostly through hybrid equity and debt deals.²⁰

The playing field is also uneven. In e-commerce, ride hailing and food delivery, the sectors with the largest markets, my own experience is that internationally backed entrants sized their spending to a population of 250 million, absorbed heavy losses to win share, and left local competitors unable to earn a return. That is my assessment as an operator rather than a measured finding, because the investment and loss figures needed to test it are not published for Pakistani operations of international investors.

Tax enforcement tilts the field further. The International Monetary Fund (IMF) reports that tax revenues reached 12.3% of GDP in FY2025, their highest level since at least 2000 but still below the 25th percentile of peer countries, with the base concentrated in a few sectors; agriculture contributes 24.6% of value added but faces an effective tax rate of 0.3%.²¹ Over 85% of jobs remain informal.²² A firm that documents its sales competes against rivals that do not, and in my experience many small businesses operate on margins so thin that full compliance would remove most of their profit. Where one competitor pays and most do not, compliance becomes a competitive disadvantage rather than a baseline.

The same imbalance runs through trade. Pakistan imports large volumes of goods it could plausibly produce, from the edible oil its households cook with to the cotton its main export industry spins (Table 1).

Table 1. Pakistan relies on imports for staples it could plausibly produce.

Indicator	Period	Value	Source
Palm oil imports	FY2026	USD 3.79 billion	PBS ^{23,24}
Road motor vehicle imports, including kits for local assembly	July–April FY2026	USD 3.10 billion	PBS ²⁵
Cotton imports against domestic mill use	2025/26 forecast	5.6 of 10.6 million bales	USDA ²⁶

Source: Pakistan Bureau of Statistics trade data, as reported by Dawn and by Profit citing AKD Research; USDA Foreign Agricultural Service. Cotton figures are USDA forecasts.

Implications

Taken together, the evidence suggests that Pakistan’s digital economy is constrained less by its rules than by a thin and unevenly contested market. Three consequences follow.

First, regulatory liberalisation alone will not attract the next wave of capital, because investors who can now repatriate returns still need a market large and fair enough to generate them. Second, the costs fall hardest on local firms. A domestic company earning rupees, unable to borrow from banks that prefer the government, and competing against both untaxed rivals and heavily funded foreign entrants, has little room to reinvest. Third, the macroeconomic stakes reach beyond any single sector. An economy that imports its cooking oil, much of its cotton and billions of dollars’ worth of vehicles while its middle class loses ground is exposed every time the rupee weakens, and each episode shrinks the market further.

The figures in this insight are reported data or official forecasts; the weight placed on them, and the conclusions drawn from my own operating experience, are judgments that readers should treat as such.

The Way Forward

The objective should be a domestic market that rewards producing, paying tax and building in Pakistan, rather than further layers of regulatory relief.

First, enforce the tax regime uniformly before extending it. The IMF has called for revenue administration to intensify the registration of retailers.²¹ The priority should be to bring untaxed competitors into the net so that compliant firms are not penalised for complying, rather than to raise rates on those who already pay.

Second, curb unnecessary and smuggled imports. I argue for firmer limits on imports that could be substituted locally, particularly in edible oil, cotton and vehicles, accepting higher prices for the middle class in the short term in exchange for a lasting incentive to produce at home. I extend the argument to digital services, where I favour measures that stop more heavily capitalised foreign platforms from using sustained losses to exclude local firms. This is a contested prescription. The Ministry of Commerce's National Tariff Policy 2025–30 moves the other way, describing the existing tariff structure as high, complex and protective, prone to elite capture, and setting out a phased reduction of additional and regulatory duties.²⁷ Any tightening would therefore need to be targeted, time limited and tied to domestic production commitments, and in digital markets competition law is a less distortive tool than blanket barriers.

Third, lower the cost of the export leg for small sellers. Pakistani merchants can list on global marketplaces, but in my experience shipping a parcel from Pakistan costs so much more than shipping from China that direct export rarely pays. International postage has long been shaped by the Universal Postal Union's terminal dues system, which grouped countries into tiers with different delivery rates according to their level of postal development;²⁸ its 2019 Extraordinary Congress approved self declared rates for small packets, to be introduced in stages.²⁹ How much of China's low parcel pricing that system explains, and whether direct state subsidy also plays a part, cannot be established from the available evidence. A time limited subsidy or negotiated rate for small export parcels, tied to export volumes, would test whether shipping cost is the constraint.

Fourth, make Pakistan easy to reach. A free Visa Prior to Arrival facility introduced in 2024 for 126 nationalities disappeared from the official portal at the start of 2026 without a public announcement, returning most visitors to a paid eVisa.³⁰ Restoring a fast, publicly guaranteed route for business and tourist travel would cost little.

Dubai handled more international passengers than any other airport in 2025, while Istanbul ranked sixth.³¹ In my view, both show how a national carrier built around transit traffic can turn a country into a stopover and bring tourism and trade with it. Pakistan need not copy that model to learn from it.

Pakistan's founders no longer need the state to step aside so much as to make the market worth entering. The open question is whether policymakers will trade some short term consumer prices and tariff revenue for a market in which producing locally, paying tax and building for Pakistani customers is a viable business rather than an act of faith.

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About the Author

Muneeb Maayr is a founder and operator who has built and scaled major consumer technology platforms in Pakistan. As the founder of Bykea, he led one of the country's largest local mobility and logistics networks, working directly with the realities of capital raising, regulatory frameworks, and consumer scaling in a high friction market. His experience gives him a ground level perspective on the intersection of technology, public policy, and institutional economics.